

Amazon.com, Inc. NasdaqGS:AMZN

FQ1 2017 Earnings Call Transcripts

Thursday, April 27, 2017 9:30 PM GMT

S&P Global Market Intelligence Estimates

	-FQ1 2017-			-FQ2 2017-	-FY 2017-	-FY 2018-
	CONSENSUS	ACTUAL	SURPRISE	CONSENSUS	CONSENSUS	CONSENSUS
EPS Normalized	1.10	1.48	▲34.55	1.91	7.22	12.55
Revenue (mm)	35320.49	35714.00	▲1.11	36915.68	165323.04	199548.57

Currency: USD

Consensus as of Apr-26-2017 9:00 PM GMT

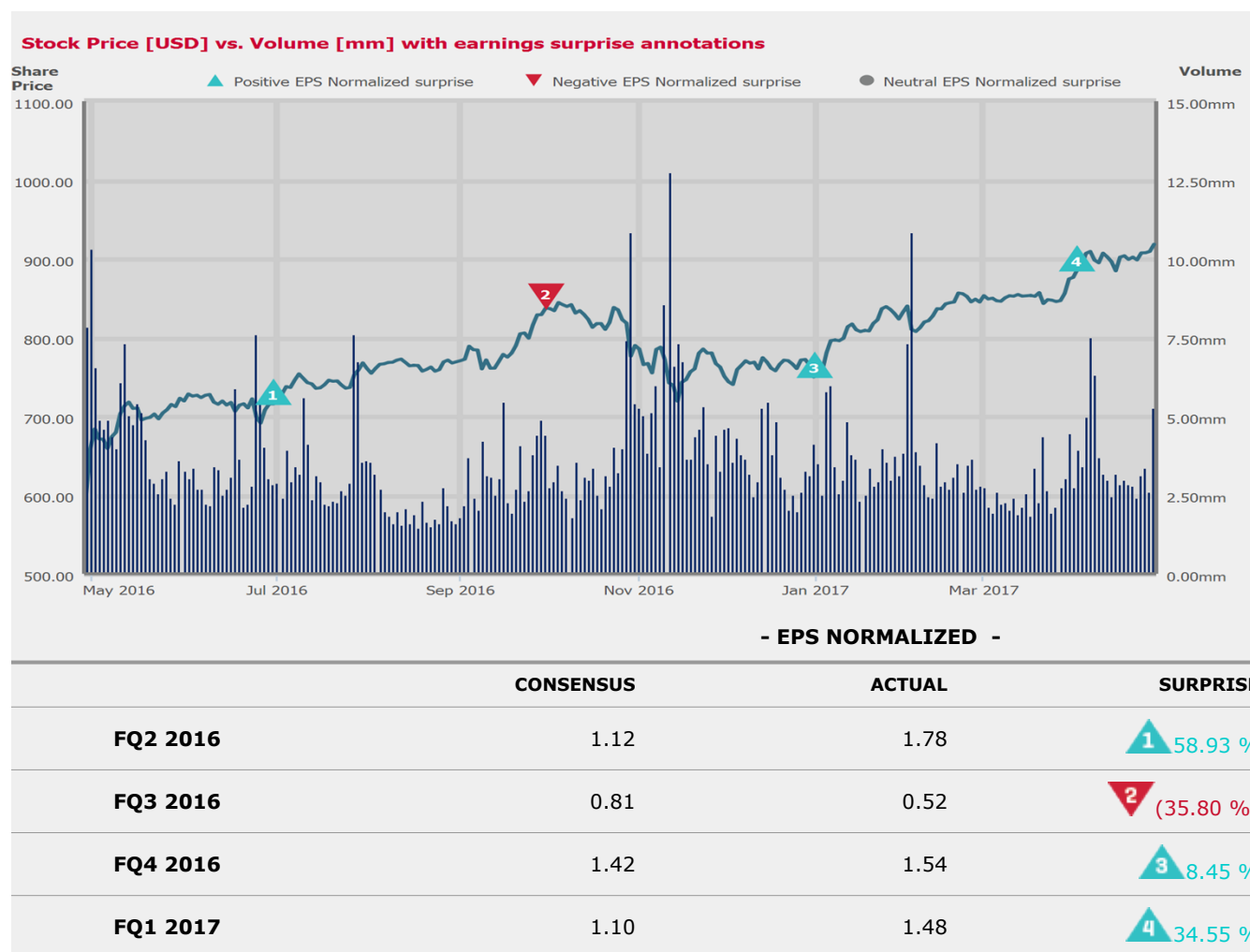


Table of Contents

Call Participants		3
Presentation		4
Question and Answer		5

Call Participants

EXECUTIVES

Brian T. Olsavsky
Senior VP & CFO

Darin Manney
*Finance Director of EU Retail
Categories & Expansion*

ANALYSTS

Brian Thomas Nowak
Morgan Stanley, Research Division

Colin Alan Sebastian
*Robert W. Baird & Co.
Incorporated, Research Division*

Daniel Salmon
*BMO Capital Markets Equity
Research*

Douglas Till Anmuth
*JP Morgan Chase & Co, Research
Division*

Eric James Sheridan
*UBS Investment Bank, Research
Division*

Gregory Scott Melich
*Evercore ISI Institutional Equities,
Research Division*

Heath Patrick Terry
*Goldman Sachs Group Inc.,
Research Division*

Jason Stuart Helfstein
*Oppenheimer & Co. Inc., Research
Division*

Justin Post
*BofA Merrill Lynch, Research
Division*

Mark Alan May
Citigroup Inc, Research Division

Mark Stephen F. Mahaney
*RBC Capital Markets, LLC,
Research Division*

Ronald Victor Josey
*JMP Securities LLC, Research
Division*

Scott William Devitt
*Stifel, Nicolaus & Company,
Incorporated, Research Division*

Stephen D. Ju
Crédit Suisse AG, Research Division

Presentation

Operator

Thank you for standing by. Good day, everyone, and welcome to the Amazon.com Q1 2017 Financial Results Teleconference. [Operator Instructions] Today's call is being recorded. For opening remarks, I'll be turning the call over to the Director of Investor Relations, Darin Manney. Please go ahead.

Darin Manney

Finance Director of EU Retail Categories & Expansion

Hello, and welcome to our Q1 2017 financial results conference call. Joining us today to answer your questions is Brian Olsavsky, our CFO.

As you listen to today's conference call, we encourage you to have our press release in front of you, which includes our financial results as well as metrics and commentary on the quarter. Please note, unless otherwise stated, all comparisons in this call will be against our results for the comparable period of 2016.

Our comments and responses to your questions reflect management's views as of today, April 27, 2017, only and will include forward-looking statements. Actual results may differ materially. Additional information about factors that could potentially impact our financial results is included in today's press release and our filings with the SEC, including in our most recent annual report on Form 10-K and subsequent filings.

During this call, we may discuss certain non-GAAP financial measures. In our press release, slides accompanying this webcast and our filings with the SEC, each of which is posted on our IR website, you will find additional disclosures regarding these non-GAAP measures, including reconciliations of these measures with comparable GAAP measures.

Our guidance incorporates the order trends that we've seen to date and what we believe today to be appropriate assumptions. Our results are inherently unpredictable and may be materially affected by many factors, including fluctuations in foreign exchange rates; changes in global economic conditions and customer spending; world event; the rate of growth of the Internet, online commerce and cloud services; and the various factors detailed in our filings with the SEC. Our guidance also assumes, among other things, that we don't conclude any additional business acquisitions, investments, restructurings or legal settlements. It's not possible to accurately predict demand for our goods and services, and therefore our actual results could differ materially from our guidance.

Before moving to Q&A, I would like to draw attention to a new accounting rule that we implemented in Q1. The new rule requires excess tax benefits from stock-based compensation to be presented as an operating activity in the consolidated statements of cash flows. We retrospectively adjusted our consolidated statements of cash flows to reclassify excess tax benefits from financing activities to operating activities. And as a result, you will see an increase in our free cash flow measures for prior periods.

Additionally, beginning January 1, 2017, the excess tax benefit or deficiency for stock-based compensation is recognized as a component of tax expense rather than equity. This change resulted in a decrease to our tax expense for the quarter and a corresponding increase to our net income and earnings per share. Specific changes are presented in the footnotes to the consolidated statement of cash flows and related metrics provided in our press release. Further disclosure of the impact of the adoption of this accounting change can be found in our Form 10-Q.

With that, we'll move to Q&A. Operator, please remind our listeners how to initiate a question.

Question and Answer

Operator

[Operator Instructions] Our first question comes from Justin Post with Merrill Lynch.

Justin Post

BofA Merrill Lynch, Research Division

Got it. Saw on the front pages of release you're really focused on India. Can you give us a progress update on how you're doing? Any thoughts on how far you're willing to take the investment levels there? And what are your thoughts on maybe when international margins can start to make progress?

Brian T. Olsavsky

Senior VP & CFO

Sure, Justin. Thank you. Yes, I think Jeff's comments were pretty dead on. The launch of Prime last year was a big turning point. We've increased Prime selection by 75% since launching that 9 months ago in India, also increased the fulfillment capacity for sellers by 26% this year. On the content side, we've announced 18 Indian Original TV series, and we're customizing the content. So it's a really vast selection of local and global movies and TV shows that are available to the Indian public. You'll also notice that the Fire TV Stick was -- the new version of it was launched in India with some important features there, such as the ability to search in Hindi and in English, free data usage for 3 months and also data monitoring, which is important there. So we're -- again, we continue to be encouraged by both the response from customers and sellers. As far as level of investment is concerned, it is certainly one of our important investment areas. We see a lot of potential for the country and our business there.

Justin Post

BofA Merrill Lynch, Research Division

Any thoughts on how much this is impacting your international profitability?

Brian T. Olsavsky

Senior VP & CFO

Sure. I can't quantify it, but -- or break out specifically, but I will say it's a large factor as well as a couple other things in the international segment. So keep in mind that we launched Prime Video in the fourth quarter, and now we have that in over 200 countries and territories. We're spreading a lot of the Prime benefits that we've seen in North America to other countries. We just opened up AmazonFresh in Tokyo last weekend, but also Prime Now. You saw other things like our business -- B2B business just opened up in the U.K. We have Amazon devices. So there's a lot of moving parts here. The other big influence is the same trends are happening in international with respect to FBA growth and the fact that our Amazon-Fulfilled Network or the units we shipped are growing at much faster clip than our paid unit growth. Last year, we said that was a 40% -- nearly 40% growth worldwide, so we're making the investments in warehouses, fulfillment capacity and delivery capacity to handle that. So there's a lot going on in international. We are very encouraged with the growth of the Prime program, and we're hopeful for the Prime Video that we launched in the fall.

Operator

Our next question comes from Mark Mahaney with RBC Capital Markets.

Mark Stephen F. Mahaney

RBC Capital Markets, LLC, Research Division

Okay. 2 questions. The North American operating margins seem to come down like 70 bps year-over-year, and I know it's not a big focus of you, the margins. I get that, but it's sort of a change. You've had margins be flat or up year-over-year for quite some time and now they dip down. Just could you explain that? And then secondly, on these -- on the Echo devices, the Echo family, Alexa devices that are coming

out, could you comment at all about what kind of impact you're seeing in terms of increased wallet or per share within household? Are you seeing that have an impact in terms of Amazon customers more likely to spend more once they have these devices in particular categories like groceries or household products, pantry, products that they're more likely to spend because they have these devices in their houses, in their kitchens, in their living rooms?

Brian T. Olsavsky

Senior VP & CFO

Sure, Mark. Let me start with the Echo question first. So yes, we're very encouraged by the customer response to the Echo products. Not only the Echo products, but the ability to use tablets -- our tablets now as Echo devices since we've spread the Alexa technology to many of those devices. And we're also happy with the success we've had with developers. There's over now over 12,000 Alexa skills. So we think that's all foundational. The monetization, as you might call it, is -- the theme of your questions, that's not our primary issue right now. It's about building great products and delighting customers. We think as engagement -- as we pick up engagement with the devices, it helps the engagement with Amazon as a whole. So whether someone is ordering off their Alexa device or whether they're going to their phone or going to their computer, it now has the same effect for us. So very, very pleased with the initial progress. We see a lot of momentum there, and we continue to invest. And that's one of the answers to your second question on North America operating margin. So if I step back, let me just talk generally about investment. So right now we're just seeing a lot of great opportunities before us, and we're continuing to ramp up the investments in pursuit of those opportunities. And the big picture is, again, as we've said, customers -- we want the things that customers love, can grow to be large, will have strong financial returns and they're durable and can last for decades. So in that category and some of the things that we are investing the most in are, as you say, the Echo and Alexa devices. We're doubling down on that investment, video content and marketing, not only in the U.S. but globally with the launch of our Prime Video in the fall. So we're building global scale in that business in both content and marketing. As I said earlier, we're expanding Prime benefits in the U.S. and also globally, things like Prime Music, Prime Now, AmazonFresh, all expanding globally. And we've launched Prime in India, China and Mexico. I know I'm drifting a bit from North America, but it's all part of the same theme. We also have this trend going on in our fulfillment networks where strong FBA growth and high growth in Amazon-Fulfilled units is resulting in a large increase in fulfillment capacity. We're also investing in new technologies, such as artificial intelligence, machine learning. You're starting to see some of that show up in things like Amazon Go, our beta store that we've developed in Seattle; drones. We use those technologies a lot in our internal businesses, and we're also developing services for AWS customers. So -- and that's -- of course, another area as AWS continues to grow and add services and features and doing so at an accelerating rate. So there's a long list and I can keep going, but I think the general theme is we're -- there's a lot of investment in front of us that we're optimistic about and we continue to ramp those investments. In North America, that manifests itself mostly in the device area, the content area and also the expansion of the fulfillment networks.

Operator

Our next question comes from Brian Nowak with Morgan Stanley.

Brian Thomas Nowak

Morgan Stanley, Research Division

I have 2. Just the first one, Amazon always has a pretty big focus on efficiency. So I'd be curious to talk -- if you could talk about examples or areas where you've been able to iron out inefficiencies in the fulfillment process. And there's -- any still existing examples where you see low-hanging fruit to really improve fulfillment efficiency? And then just back to the point on investment, you didn't mention brick-and-mortar at all, yet there's been a lot of mention in the press about Amazon brick-and-mortar. I guess I'd be curious to hear how you think about the importance of an Amazon brick-and-mortar presence and how that fits into the long-term strategy.

Brian T. Olsavsky

Senior VP & CFO

Sure thing. So particularly as it pertains to our fulfillment center networks, I think the biggest areas of efficiency right now are in our Amazon robotics areas. That technology continues to improve, and we've -- we're now multiple generations down. We just launched a Amazon robotics fulfillment center in the Tokyo area recently. And so toward that last month, and it's just amazing to see the strides that the Amazon robotics has taken and the efficiency we're getting in our warehouse as a result. The other efficiencies we're seeing are network efficiencies, especially as we had things like sort centers. It's a collaboration and a movement between warehouses and sort centers and then to the end customer. The ability to have control through our sort centers has allowed us over the last few years to cut off our -- to extend our cut-off times from 3 p.m., in most cases, till midnight. So greater control of our processes. If we do it cost-effectively, it can also have favorable benefits both for our warehouse flow and also for our customers and their ordering pattern. So there's a lot of efficiencies that are going on day-to-day around here. One of the benefits of rapid growth and -- is the ability to create leverage on purchases and a lot of the processes that we run. So your second question was on stores. Yes, yes, I think you're seeing the expansion of our bookstores. We have 6 bookstores right now, and we've announced another 6. The Amazon Go is in beta in Seattle. And while that's not large and it's only one site, we're excited about the potential there and the use of the technologies of computer vision, sensor fusion and deep learning. We think that has a lot of potential. Again, it's only one location. That's still in beta. But along with the bookstores, we also have -- you'll see us in pop-up stores and college pickup points. So for us, it's another way to reach the customer and test what resonates with them, and we're pleased with the results.

Operator

Our next question comes from Ron Josey with JMP Securities.

Ronald Victor Josey

JMP Securities LLC, Research Division

Brian, I think you mentioned accelerating growth within AWS on new products, and last year you added about 1,000. Can you just talk about maybe the plans for AWS and product growth going forward here in 2017 and the focus on innovation?

Brian T. Olsavsky

Senior VP & CFO

Sure. Yes, we haven't updated that number, but suffice to say, the innovation pace continues to accelerate. We are very proud of the launches in Q4: the Amazon Connect, which we think will provide customer service-like capability to customers; and Amazon Chime, which we also believe will resonate with customers. We've had a lot of adoption of our new services. We've got customers migrated more than 23,000 databases using the AWS data -- database migration service since that launched last year. And just generally, we continue to expand geographically. We've announced additional Availability Zones and regions worldwide. So again, we signed a number of big customers. I guess I would point out in the quarter Liberty Mutual, Snap and Live Nation, all starting relationships with us or expanding their current relationship. We're now over \$14 billion run rate, but we're happy with the business and the team. And again, for us innovation is going to be key as we move forward.

Operator

Our next question comes from Dan Salmon with BMO Capital Markets.

Daniel Salmon

BMO Capital Markets Equity Research

Brian, a couple questions about your growing advertising business. We see more and more of it appearing on the site, and I was interested to hear a little bit more about how you expect that business to roll out internationally. I think it's largely U.S.-based today, but be curious to hear about that. And then second, I think it's fairly obvious what someone selling within the Amazon ecosystem would be interested in promoting on the platform. But maybe tell us a little bit about maybe over the long term, there are opportunities for sort of non-endemic advertisers within your platform.

Brian T. Olsavsky*Senior VP & CFO*

Sure. Yes, we're -- it's pretty early in the days with advertising, but we're very pleased with the team we have and the results. Our goal is to help -- is to be helpful to consumers and enhance their shopping or their viewing experience with targeted recommendations, and we think a lot of the information we have and preferences of customers and recommendations help us do that for customers. We have -- Sponsored Products is off to a great start, and it's a very effective way for advertisers to reach those especially interested customers. While you're on the topic of advertising, I thought I'd point out that in other revenue -- advertising is in other revenue, as is co-branded credit card agreements and also some other advertising services. That decelerated from 99% to -- in Q4 to 58% in Q1, but the fluctuation and the volatility was essentially in the co-branded credit card agreements and the other services, which can fluctuate quarter-to-quarter based on contract terms and that's what happened. Advertising was -- remains strong and was consistent growth with Q4.

Operator

Our next question comes from Stephen Ju with Crédit Suisse.

Stephen D. Ju*Crédit Suisse AG, Research Division*

So you periodically disclosed usage growth for AWS, but it has been some time since we saw one. So we're wondering if you can update us in terms of where you are now. If not, I mean, should we think about the growth in your cash deployment as an indicator of the ongoing growth?

Brian T. Olsavsky*Senior VP & CFO*

Yes, sorry, I don't have a usage number to share with you today. If it'll help, I will tell you that, again, we're now over \$14 billion run rate. You clearly see our -- we break out very clearly our AWS segment revenue and operating income. And you'll also keep in mind that there's price decreases that are part of the business, and we're pretty public when we do those. And if you remember last call, I mentioned that we had 7 price increase -- or excuse me, price decreases that were timed for December 1. So about 1/3 of the impact of those was seen in Q4 and then, again, that's one element of the sequential operating margin. But in general, we're very happy with that team and the progress they're making. And we're deploying more capital, as you can see, to support the usage growth.

Operator

Our next question comes from Douglas Anmuth with JPMorgan.

Douglas Till Anmuth*JP Morgan Chase & Co, Research Division*

I just want to ask you about CapEx. It looks like CapEx, including leases, more than doubled year-over-year. So I know you listed kind of a long list of the many investment opportunities here, but can you just point out anything else in particular that drove the pretty substantial increase there?

Brian T. Olsavsky*Senior VP & CFO*

Sure. Yes, CapEx, which is principally the fulfillment centers, was -- grew 51% year-over-year. As you'll remember, we added 26 warehouses last -- fulfillment centers last year, 23 in the second half of the year. Some of that cost of startup is before the startup. Some comes in a quarter afterwards. So there was some carryover from that. But generally, the biggest trend here is that the difference -- differential between Amazon-Fulfilled Network unit growth and paid unit growth. So that nearly 40% growth in Amazon fulfilled units last year and the continuation of the strong growth higher than the paid unit growth that we see in 2017 is resulting in a lot of fulfillment center capacity. And the fulfillment centers, I will also say, with the robotics technology tend to be more capital intensive than prior versions of warehouses

and then they're -- generally have much better operating efficiencies and variable costs following their start up. On the capital leases, as grew 45%. A good deal of that is tied to the AWS business. As I just mentioned, a lot of that's tied to unit usage growth. But I'll caution, CapEx can fluctuate quarter-to-quarter. And if you look back to last year, the trailing 12 months was only 7% growth from the quarters through Q1 of last year. So certainly, there was a bigger step up in 2016, now carrying into 2017.

Operator

Our next question comes from Mark May with Citi.

Mark Alan May

Citigroup Inc, Research Division

I know that we talked about over the last couple quarters that part of the step up in CapEx was to catch up from the underinvestment in '15. Just curious if you'd say -- have you made a lot of progress in terms of catching up with some of the fulfillment needs that you saw necessary in the business at the beginning of last year? And then I know you just said that you're -- it still is early days in terms of advertising. But there's a perception out there that over the last year or so, that the company has sort of really begun to focus more on this business opportunity. Has something really changed at the business in the last year? And do you see advertising becoming a more meaningful part of the business over the near to midterm, I guess?

Brian T. Olsavsky

Senior VP & CFO

Sure. Let me start with advertising. So yes, I think scale is helping. We have great teams working on advertising for a while now. Our scale in number of customers, number of clicks, number of eyeballs and new content -- or excuse me, video content and other opportunities for advertising has really helped create some scale in that business. So we're very happy. I can't project it forward, but we're happy with the growth there. I think the Sponsored Products was a very inventive move for us, and I think that is having some really good impact on advertising growth. On your second point about fulfillment capacity, here's how I'd generally -- I'd generalize it. We -- in Q4 of 2015, we were pretty vocal, or pretty transparent anyway, that we ran out of space in Q4, especially due to some very strong demand for FBA space and services. Last year, we changed some of our incentives to -- and worked with FBA merchants to try and have their throughput to our FCs, particularly in Q4. That, combined with the step up in fulfillment centers that I mentioned, the 26 new ones, left us in a really good position. We had a very clean holiday, and we think it worked well for both customers, Amazon and also for sellers, especially for FBA sellers. So yes, that leaves us now continuing to grow internationally as well because we continue to see strong FBA adoption, and it's a big part of our business, and it's a big part of our value with the additional Prime-eligible ASINs that FBA provides. So again, it's -- they're self-reinforcing, the FBA program and also our Prime program. Prime program attracts more people to Amazon, and they buy more, including FBA products. And conversely, more FBA products in our warehouses helps our in stock of things that people want to buy, Prime-eligible in stock, and that helps reinforce the Prime program.

Operator

Our next question comes from Heath Terry with Goldman Sachs.

Heath Patrick Terry

Goldman Sachs Group Inc., Research Division

Wondering if you could give us a sense of how we should think about the increase in unearned revenue. Obviously this quarter, the biggest increase that you've seen from at least from a dollar perspective. What does that say about the way customers are changing in the behavior in the AWS business? How should we think about the way that, that might be impacting pricing mix, near-term growth?

Darin Manney

Finance Director of EU Retail Categories & Expansion

Heath, this is Darin. Yes, on the deferred revenue balances, as we've said in the past, the primary drivers of that increase are both the activity that we're seeing with our AWS customers and the purchase of Reserved Instances and prepaid credits for their account as well as Prime member purchases. We're not breaking out the specific growth rates for Prime. But certainly, we like what we see in terms of the growth, and it's been consistent with what we've seen over the last quarter or so. Certainly, part of that increase in deferred balances is related to Reserved Instances as customers get more comfortable and begin to put more sustained workloads into the AWS services. Through buying RIs, they're able to get fairly significant discount on their usage. And so we like that model, customers certainly like that model and collecting that through deferred revenue and then letting customers use that over time is very helpful.

Operator

Our next question comes from Colin Sebastian with Robert W. Baird.

Colin Alan Sebastian

Robert W. Baird & Co. Incorporated, Research Division

Question on the transportation and logistics initiatives and, in particular, if you could share any of the facts or learnings thus far with air cargo. In particular, what kind of performance or cost efficiencies that you may be realizing or expect to realize from this effort.

Brian T. Olsavsky

Senior VP & CFO

Sure, Colin. As you pointed out, we're -- we've expanded our own fleet. We now have 18 planes in service for Amazon, and we've announced rights to lease up to 40 planes. So it's gone very well. The ability to control shipments within our network has gone up, and we think the cost is very good. So on that front, it's better control -- better capacity control and especially search capacity and also good costs. So we have great relationships with third-party carriers. We will continue to, and we value all of our partner relationships as we develop our own capability, particularly in inter-network. We're putting it to good use, as I mentioned before, with the sortation center example.

Operator

Our next question comes from Scott Devitt with Stifel.

Scott William Devitt

Stifel, Nicolaus & Company, Incorporated, Research Division

I was wondering if you could talk a little bit about where you are in terms of investment and capabilities in India at this point and how you think about that market longer term. And then secondly, also if you could just comment on the limitations and your willingness to invest more throughout LatAm, the way you have more recently in markets like China and India. And if I could, just finally, you've previously discussed satisfaction with the measurements of success for the video product in terms of consumer engagement and the effects on Prime. I was just wondering if you could comment on whether these metrics are continuing to improve as spending continues to rise on video and consumer awareness is seemingly growing as well.

Brian T. Olsavsky

Senior VP & CFO

Let me start with your middle question. I think it was about Latin America growth. Let me step back and talk about international growth in general. So it -- our approach varies by country. If you look historically, we've taken multiple approaches. So in China, we bought an existing business, Joyo.com, and built off that base. In India, we started from scratch and have built a lot of things ourselves. And it's always going to depend on the country, the dynamics in that country both for retail, for online and for foreign investment. But a real key factor in all of this generally is management bandwidth as well. So we pick our spots carefully. You'll see -- you heard in the quarter that we've announced the intention to buy Souq in the Middle East. Where does that fit into the strategy? Well, Souq is a pioneered e-commerce in the Middle East, and they're creating great shipping experience for the customers and their multiple countries and

they're doing a great job. So we see this as an example where we can learn from them and also support their efforts with our Amazon technology and global resources. So we -- we are in Mexico, but we're not in other parts of Latin America. We're -- we have a business in Brazil, but other countries will take on a case-by-case basis, again, bounded by what our management bandwidth can support and prioritization versus other things. You obviously heard my long list of investments. All of those are pretty much gated by the need for people and software engineers and strong teams to approach them. So international expansion gets played off in the same prioritization that other efforts do.

Operator

Our next question comes from Jason Helfstein with Oppenheimer & Co.

Jason Stuart Helfstein

Oppenheimer & Co. Inc., Research Division

So is there -- just an accounting housekeeping, a way to think about stock-based comp. You guys aren't providing that by segment anymore, but the rates of growth kind of differed by the businesses. And so is there just a way to think about, a, will that be in the Q, or are you not disclosing anymore? And is there a way to think about would, I guess, the patterns be consistent with historical patterns by segment?

Darin Manney

Finance Director of EU Retail Categories & Expansion

Jason, this is Darin. We, a number of quarters back, started breaking out stock-based compensation by segment, and now we've collapsed that in our op income by segment. So it's definitely in there. We do provide some disclosure by P&L line item on a consolidated basis that helps you identify that stock-based compensation expense in total, and you'll see the trend analysis in the metrics at the back of the press release.

Operator

Our next question comes from Eric Sheridan with UBS.

Eric James Sheridan

UBS Investment Bank, Research Division

Maybe I could take 2 away from the press release just to understand a little bit of the quarter-over-quarter cadence. The retail subscription services, that's a pretty big jump up in the growth rate year-on-year in Q1 versus Q4. I think that might be Prime memberships had come on to paid from trial, but just want to understand what maybe what some of the driver was of that quarter-over-quarter in terms of the growth rate. And net shipping costs actually grew at the slowest rate by our count in a couple years. It looks like you're starting to get some improvements there in terms of revenue over costs on the shipping line. I just wanted to know what that was in terms of what's driving that, and can we expect that to possibly continue.

Brian T. Olsavsky

Senior VP & CFO

Sure. Let me start with the retail subscription services revenue. So there's multiple things in that category, the largest is Prime membership fees, but also other subscription services like audiobooks, e-books, digital video, digital music and other subscription services. So you're right, there was an acceleration. Much like the comment I had on advertising and the other revenue category, the Prime membership growth rates for Q1 and Q4 last year are relatively consistent. So the volatility is in those other items. So I'm not quantifying the Prime membership or commenting on the growth rates other than to say it's been very strong and Q4 strength has continued into Q1. Your comment on shipping costs, yes, that is going to -- that was a lower unit volume as well. But generally, costs are going to be a combination of the tailwind -- the headwinds obviously are going to be FBA growth and shipping more products ourselves and this expansion of our Prime program and the demand for products from our Prime customers. And demand's been great. Again, there's over 50 million items that people can get delivered to their doorstep within 2 days or, in some cases, next day or same day. So it's going to be a big part of our cost structure, but it's

an investment we work hard to reduce as far as rates and we're glad to spend it to support our Prime program.

Operator

And our final question will come from Greg Melich with Evercore ISI.

Gregory Scott Melich

Evercore ISI Institutional Equities, Research Division

I have a follow-up and then a new question. The follow-up is would love an update. You talked about the fulfillment centers, but could you update us on where we are in terms of rolling out Prime Now facilities and sorting centers? [Just account] and if you feel that scenario, it's a really ramp-up investment this year, or what you got last year is sort of what you need.

Brian T. Olsavsky

Senior VP & CFO

Sure. I'm sorry, you said Prime Now. And what was the other thing?

Gregory Scott Melich

Evercore ISI Institutional Equities, Research Division

And the sorting centers.

Brian T. Olsavsky

Senior VP & CFO

Sort centers, right. Well, I don't have updated numbers for you, but the Prime Now is available in more than 45 cities across 8 countries. The same day is available in 30 cities in the U.S. So that's a bit on the quantification of those. I can't tell you much more on sort centers.

Gregory Scott Melich

Evercore ISI Institutional Equities, Research Division

But when you think about building out the capacity, it sounds like last year you had that big surge in fulfillment centers. There isn't a similar surge about to happen this year on some of those other areas?

Brian T. Olsavsky

Senior VP & CFO

Yes, I can't project that. We're still growing that, and we're happy with the progress in Prime Now and the service that -- the value it creates for Prime customers. And as I said, we've expanded internationally, which is a big goal of ours as well. So we will continue to grow that. I can't quantify it for you right now. The other similar-like facility metric you might want is AmazonFresh is now in 21 metro areas in the U.S. as well as London and Tokyo.

Darin Manney

Finance Director of EU Retail Categories & Expansion

Thank you for joining us on our call today and for your questions. A replay will be available on our Investor Relations website at least through the end of the quarter. We appreciate your interest in Amazon.com and look forward to talking with you again next quarter.

Copyright © 2019 by S&P Global Market Intelligence, a division of S&P Global Inc. All rights reserved.

These materials have been prepared solely for information purposes based upon information generally available to the public and from sources believed to be reliable. No content (including index data, ratings, credit-related analyses and data, research, model, software or other application or output therefrom) or any part thereof (Content) may be modified, reverse engineered, reproduced or distributed in any form by any means, or stored in a database or retrieval system, without the prior written permission of S&P Global Market Intelligence or its affiliates (collectively, S&P Global). The Content shall not be used for any unlawful or unauthorized purposes. S&P Global and any third-party providers, (collectively S&P Global Parties) do not guarantee the accuracy, completeness, timeliness or availability of the Content. S&P Global Parties are not responsible for any errors or omissions, regardless of the cause, for the results obtained from the use of the Content. THE CONTENT IS PROVIDED ON "AS IS" BASIS. S&P GLOBAL PARTIES DISCLAIM ANY AND ALL EXPRESS OR IMPLIED WARRANTIES, INCLUDING, BUT NOT LIMITED TO, ANY WARRANTIES OF MERCHANTABILITY OR FITNESS FOR A PARTICULAR PURPOSE OR USE, FREEDOM FROM BUGS, SOFTWARE ERRORS OR DEFECTS, THAT THE CONTENT'S FUNCTIONING WILL BE UNINTERRUPTED OR THAT THE CONTENT WILL OPERATE WITH ANY SOFTWARE OR HARDWARE CONFIGURATION. In no event shall S&P Global Parties be liable to any party for any direct, indirect, incidental, exemplary, compensatory, punitive, special or consequential damages, costs, expenses, legal fees, or losses (including, without limitation, lost income or lost profits and opportunity costs or losses caused by negligence) in connection with any use of the Content even if advised of the possibility of such damages. S&P Global Market Intelligence's opinions, quotes and credit-related and other analyses are statements of opinion as of the date they are expressed and not statements of fact or recommendations to purchase, hold, or sell any securities or to make any investment decisions, and do not address the suitability of any security. S&P Global Market Intelligence may provide index data. Direct investment in an index is not possible. Exposure to an asset class represented by an index is available through investable instruments based on that index. S&P Global Market Intelligence assumes no obligation to update the Content following publication in any form or format. The Content should not be relied on and is not a substitute for the skill, judgment and experience of the user, its management, employees, advisors and/or clients when making investment and other business decisions. S&P Global Market Intelligence does not act as a fiduciary or an investment advisor except where registered as such. S&P Global keeps certain activities of its divisions separate from each other in order to preserve the independence and objectivity of their respective activities. As a result, certain divisions of S&P Global may have information that is not available to other S&P Global divisions. S&P Global has established policies and procedures to maintain the confidentiality of certain nonpublic information received in connection with each analytical process.

S&P Global may receive compensation for its ratings and certain analyses, normally from issuers or underwriters of securities or from obligors. S&P Global reserves the right to disseminate its opinions and analyses. S&P Global's public ratings and analyses are made available on its Web sites, www.standardandpoors.com (free of charge), and www.ratingsdirect.com and www.globalcreditportal.com (subscription), and may be distributed through other means, including via S&P Global publications and third-party redistributors. Additional information about our ratings fees is available at www.standardandpoors.com/usratingsfees.

© 2019 S&P Global Market Intelligence.